

PRINCIPLES OF TECHNICAL ANALYSIS

There are certain principles when it comes to technical analysis that we need to keep in mind. These were first discussed by Charles Dow which then became the base for what later came to be known as the Dow Theory. The three basic principles of technical analysis are -

HISTORY NEVER REPEATS ITSELF, BUT IT ALWAYS RHYMES

Technical Analysis is built on the principle that what has happened in the past will not exactly repeat itself, but will rhyme i.e. will have similar patterns if not exact patterns. Technical Analysis says that when similar circumstances arise in terms of how price and volume are behaving and how different indicators are behaving, the asset prices going ahead will move in a pattern that is similar to what has been the case in the past.

